BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DCCED **Date: 6/11/2026**

Bill Number: HB 388

Short Title (as it appears on BASIS): BULK FUEL LOAN CAP

What action do you recommend the Governor take?
Select one.

☒ **SIGN** ☐ **VETO** ☐ **LWOS**

Action Justification – Why do you recommend the above action?
Please be specific.

The Bulk Fuel Revolving Loan Fund was created in response to the needs of rural communities to purchase fuel supplies when they cannot purchase by other means. Most communities in rural Alaska do not have the financial means to pay the entire amount upon delivery and are unable to secure conventional financing.

The program is run in partnership with the Division of Investments who does the loan servicing. They are provided with an annual operating appropriation from the two loan accounts. Their weekly report documents the current loan balance and the payment history for each loan and borrower, and the two fund account balances or cash availability for lending.

The program consists of two accounts, which are maintained separately. One is the bulk fuel loan account; the other is the bulk fuel bridge loan account. AS 42.45.270 directs the division to establish by regulation criteria, loan eligibility of communities or entities, and determine the fund account for approved applicants. Those regulations were adopted in 3 AAC 161.010–161.900. Loan applications are accepted year-round.

Loans are made to a municipality or an unincorporated village with a population under 2,000, or a private individual or a company retailing fuel or electricity in such a community. Some communities have multiple entities participating in the loan program; a borrower may provide retail sales of heating oil or gasoline, be an electric utility operator, or a municipality providing utility services to public facilities. DCRA determines loan approvals and eligibility on an individual basis. The Division approves loans as either bulk fuel loans or bulk fuel bridge loans as provided in AS 42.45.260 - 42.45.270.

To secure a loan, applicants are required to submit a promissory note and loan agreement adopted by the governing body of the borrower. The borrower must also submit a resolution from the governing body of the community or from the board of directors of a private entity, as appropriate, authorizing the borrower to enter into and execute the loan agreement and promissory note evidencing the loan and other documents required by DCRA. The loan applicant is required to document the revenue sources intended to repay a loan. The promissory note and loan agreement states that payments from the State of Alaska for funds provided by Community Assistance Program (CAP), Power Cost Equalization (PCE), or other programs, may be assigned to the Bulk Fuel Revolving Loan Program, in the event of loan default (over 90 days past due).

Rural Alaska communities typically purchase their entire years fuel once a year so deliveries can be made during the summer months before transportation routes freeze up. With the global situation and limits on fuel products this year is especially challenging. Bulk fuel providers have notified DCRA that costs in rural Alaska have risen by $3-4 per gallon since last year. DCRA has also received loan applications from new entities and the largest rural consumer of power plan fuel, Alaska Village Electric Cooperative (AVEC) to serve their communities that are under 2000 population.

Many borrowers will require extra funds to supply electricity and heating for winter 2026/2027, often exceeding the current $750,000 loan cap set in 2012. Increasing the cap to $1,500,000 will allow communities to purchase enough fuel for the upcoming year but will require additional funding for the program.

The Loan Fund usually supports about 78 borrowers, each averaging $300,000/loan. As fuel costs rise and supply is volatile, keeping funds available ensures fuel purchases can proceed. The bill covers fuel purchase but not the end-user price. Higher costs may cause hardships and loan defaults if borrowers can't recover these expenses from users.

The DCRA bi-annual fuel survey lists average costs at $6.63 per gallon (winter 2026), but this excludes recent increases in fuel prices.

<u>What does this Bill do</u>?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

HB 388 increases the financing available through the bulk fuel loan account and the bulk fuel bridge loan account to help communities and utility organizations address rising fuel costs and larger regional fuel purchases. The bill doubles the maximum loan amount available through

both the bulk fuel loan account and the bulk fuel bridge loan account from $750,000 to $1.5 million. It also increases the amount available to cooperative corporations and electric cooperatives purchasing fuel on behalf of multiple communities to $1.5 million per community and removes the prior overall cap of $1.8 million. Existing requirements for one-year repayment terms and DCRA's authority to impose additional loan conditions remain unchanged.
The bill also establishes a temporary mechanism allowing the legislature, during fiscal years 2026 and 2027, to appropriate additional funds to the bulk fuel revolving loan fund if existing balances are insufficient to support the expanded loan limits. It further authorizes repayment of those appropriations, including interest, back to the original funding source once loans are repaid and expresses legislative intent that reimbursements occur as soon as practicable. The bill applies the revised loan limits to both existing and future loans and takes effect immediately upon enactment.

<u>Detailed Sectional Analysis</u>
The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1: Amends AS 42.45.260(d), which governs loans made from the bulk fuel loan account. Under prior law, loans to a single borrower could not exceed $750,000. The bill increases that limit to $1,500,000, effectively doubling the maximum amount available to an eligible borrower. This section also modifies the provisions applicable to cooperative corporations organized under AS 10.15 and electric cooperatives organized under AS 10.25 that purchase bulk fuel on behalf of more than one community. Previously, those entities could borrow up to $750,000 multiplied by the number of participating communities, but were subject to an overall cap of $1,800,000, whichever amount was less. Section 1 increases the multiplier amount to $1,500,000 per community and deletes the former $1.8 million overall cap. As a result, cooperatives serving multiple communities may now qualify for substantially larger loans than previously authorized under statute. The section retains existing statutory requirements that loans must be repaid within one year after loan disbursement; and the division may impose additional terms and conditions as necessary. No changes are made to borrower eligibility, repayment timing, or administrative oversight authority.

Section 2: Amends AS 42.45.270(c), governing the bulk fuel bridge loan account. This section increases the maximum amount that may be loaned to a single borrower in a fiscal year from $750,000 to $1,500,000. Bulk fuel bridge loans are generally intended to provide short-term financing assistance that allows borrowers to bridge timing gaps between fuel purchases and incoming revenues or other financing sources. By doubling the allowable loan amount, the bill expands the program's ability to support larger seasonal fuel purchases and respond to increased fuel transportation and acquisition costs. The section preserves the existing statutory requirements that bridge loans must be repaid within one year after disbursement; and the division may establish additional terms and conditions. No changes are made to program structure or loan administration beyond the increased borrowing threshold.

Section 3: Adds a new uncodified section of law establishing a temporary framework for legislative appropriations to support the expanded loan authority during fiscal years 2026 and 2027. Subsection (a)(1) provides that if the unexpended and unobligated balance of the bulk fuel revolving loan fund is insufficient to make loans authorized under the expanded limits created by Sections 1 and 2, the legislature may appropriate additional money to the fund in an amount necessary to make the loan. Subsection (a)(2) authorizes the legislature to appropriate repayment amounts, including applicable interest, from the revolving loan fund back to the original funding source from which the supplemental appropriation was made. Subsection (b) expresses legislative intent that reimbursements back to the originating funding source occur as soon as practicable after repayment by the borrower.

Section 4: Establishes the applicability of the statutory amendments made in Sections 1 and 2. The section provides that the amended loan limits apply both to loans already existing on the effective date of the Act; and to loans entered into on or after the effective date.

Section 5: Provides that the Act takes effect immediately under AS 01.10.070(c).

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any "rider" bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the "rider bill" or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

HB 388 is the companion bill to SB 288. The final version of HB 388 is a Committee Substitute offered by the House Finance Committee and sponsored by the House Rules Committee on May 12, 2026.

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

In Support of the Bill:

- June Okada, Energy Lead, AKPIRG, (907) 350-2286.
- Indra Arriaga, Executive Director, AKPIRG, (907) 350-2286.
- Albie Dallemolle, VP of Economic Development and Sustainability, NANA Corporation, (907) 442-8104.

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

Potential stakeholders to include:

- Albie Dallemolle, VP of Economic Development and Sustainability, NANA Corporation, (907) 350-2286.
- Nils Andreassen, Executive Director, Alaska Municipal League, (907) 790-5305.

- Justin Charon, Chief Executive Officer, Vitus Energy LLC, (907) 793-9726.
- Steve Colt, Adjunct Researcher, Alaska Center for Power and Energy, (907) 301-6394.
- Sandra Moller, Director, Division of Community and Regional Affairs, (907) 269-4569.

Commissioner's Signature: DocuSigned by: 58AE8EAA5D47472... **Date:** 6/15/2026

I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.